DRINKPAK

REPORT OF INDEPENDENT AUDITORS AND FINANCIAL STATEMENTS

DRINKPAK, LLC

As of December 31, 2022 and 2021



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MOSSADAMS

Report of Independent Auditors

The Members
DrinkPAK, LLC

Report on the Audit of the Financial Statements

Opinion

We have audited the financial statements of DrinkPAK, LLC, which comprise the balance sheets as of December 31, 2022 and 2021, and the related statements of operations, members' equity, and cash flows for the years then ended, and the related notes to the financial statements.

In our opinion, the accompanying financial statements present fairly, in all material respects, the financial position of DrinkPAK, LLC as of December 31, 2022 and 2021, and the results of its operations and its cash flows for the years then ended in accordance with accounting principles generally accepted in the United States of America.

Basis for Opinion

We conducted our audits in accordance with auditing standards generally accepted in the United States of America (GAAS). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are required to be independent of DrinkPAK, LLC and to meet our other ethical responsibilities, in accordance with the relevant ethical requirements relating to our audits. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Responsibilities of Management for the Financial Statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with accounting principles generally accepted in the United States of America, and for the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about DrinkPAK, LLC's ability to continue as a going concern within one year after the date that the financial statements are available to be issued.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with GAAS will always detect a material misstatement when it exists. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Misstatements are considered material if there is a substantial likelihood that, individually or in the aggregate, they would influence the judgment made by a reasonable user based on the financial statements.

In performing an audit in accordance with GAAS, we:

- Exercise professional judgment and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the amounts and disclosures in the financial statements.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of DrinkPAK, LLC's internal control. Accordingly, no such opinion is expressed.
- Evaluate the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluate the overall presentation of the financial statements.
- Conclude whether, in our judgment, there are conditions or events, considered in the aggregate, that raise substantial doubt about DrinkPAK, LLC's ability to continue as a going concern for a reasonable period of time.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit, significant audit findings, and certain internal control–related matters that we identified during the audit.

Moss Adams LLP

Los Angeles, California
March 27, 2023

DrinkPAK, LLC
Balance Sheets

	December 31, 2022	December 31, 2021
ASSETS		
CURRENT ASSETS		
Cash	$ 2,534,138	$ 882,083
Accounts receivable, net	19,711,409	3,470,033
Inventory	664,144	974,128
Prepaid expenses and other current assets	10,517,331	1,398,920
Total current assets	33,427,022	6,725,164
NONCURRENT ASSETS		
Property and equipment, net	31,734,642	22,515,106
Operating lease right-of-use assets	52,798,379	42,012,648
Financing lease right-of-use assets	46,872,315	10,981,605
Other noncurrent assets	4,426,949	4,893,452
Total noncurrent assets	135,832,285	80,402,811
Total assets	$ 169,259,307	$ 87,127,975
LIABILITIES AND MEMBERS' EQUITY		
CURRENT LIABILITIES		
Accounts payable	$ 8,443,559	$ 8,196,732
Accrued expenses	10,030,897	3,704,641
Operating lease right-of-use current liabilities	7,414,651	5,474,698
Financing lease right-of-use current liabilities	13,532,263	2,777,608
Related-party notes payable	21,500,000	7,500,000
Term loan, current	557,031	-
Total current liabilities	61,478,401	27,653,679
LONG TERM LIABILITIES		
Operating lease right-of-use long term liabilities	50,310,449	40,849,414
Financing lease right-of-use long term liabilities	27,837,181	7,831,613
Term loan, net of current portion	9,226,429	-
Total long term liabilities	87,374,059	48,681,027
Total liabilities	$ 148,852,461	$ 76,334,706
MEMBERS' EQUITY	$ 20,406,846	$ 10,793,269
Total liabilities and members' equity	$ 169,259,307	$ 87,127,975

DrinkPAK, LLC
Statements of Operations

	December 31, 2022	December 31, 2021
NET SALES	$ 73,760,465	$ 12,739,954
COST OF SALES	47,546,658	16,900,591
Gross profit (loss)	26,213,807	(4,160,637)
OPERATING EXPENSES		
Manufacturing support expenses	5,898,307	2,964,055
General and administrative expenses	5,900,272	2,529,120
Selling and marketing expenses	94,052	138,122
Total operating expenses	11,892,631	5,631,297
INCOME(LOSS) FROM OPERATIONS	14,321,176	(9,791,934)
Interest Expense	5,879,361	1,175,750
Other Income, net	$ (345,058)	$ -
NET LOSS	$ 8,786,873	$ (10,967,684)

DrinkPAK, LLC
Statements of Members' Equity

	Members' (Deficit) Equity
BALANCE, December 31, 2020	$ (589,047)
Issuance of common units	250,000
Issuance of preferred units	22,100,000
Net loss	(10,967,684)
BALANCE, December 31, 2021	$ 10,793,269
Issuance of common units	350,000
Vesting of profit interest units	462,501
Warrants	14,204
Net income	8,786,872
BALANCE, December 31, 2022	$ 20,406,846

DrinkPAK, LLC
Statements of Cash Flows

	Year Ended December 31, 2022	Year Ended December 31, 2021
CASH FLOWS FROM OPERATING ACTIVITIES		
Net Income (loss)	$ 8,786,873	$ (10,967,684)
Adjustments to reconcile net loss to net cash from operating activities		
Depreciation and amortization	2,998,043	1,022,621
Amortization of right-of-use assets	3,148,404	441,709
Vesting of profit interest units	462,501	-
Increase (decrease) in cash due to changes in assets and liabilities		
Accounts receivable	(16,241,376)	(3,470,033)
Prepaid expenses and other current assets	(9,320,746)	(1,172,445)
Inventory	309,984	(974,129)
Operating leases	615,257	4,001,179
Other assets	466,503	(4,100,762)
Accounts payable	246,827	5,694,306
Accrued expenses	6,326,256	3,326,389
Net cash from operating activities	$ (2,201,474)	$ (6,198,849)
CASH FLOWS FROM INVESTING ACTIVITIES		
Capital expenditures for property and equipment	(19,889,079)	(17,701,371)
Proceeds from sale of property and equipment	7,671,500	-
Net cash used in investing activities	$ (12,217,579)	$ (17,701,371)
CASH FLOWS FROM FINANCING ACTIVITIES		
Borrowings under notes payable	14,000,000	2,500,000
Repayments of financing leases	(8,278,891)	(814,093)
Issuance of common units	350,000	250,000
Issuance of preferred units	-	22,100,000
Borrowings under term loan	10,000,000	-
Net cash from financing activities	$ 16,071,109	$ 24,035,907
NET CHANGE IN CASH	$ 1,652,056	$ 135,685
CASH, beginning of year	882,083	746,398
CASH, end of year	$ 2,534,139	$ 882,083
SUPPLEMENTAL DISCLOSURES OF CASH FLOW INFORMATION		
Cash paid during the year for interest	3,148,360	770,955
Capital expenditures included in accounts payable	$ 2,082,257	$ 4,076,366

Note 1 – Nature of Business

DrinkPAK, LLC (the "Company") was formed as a Delaware limited liability company on September 8, 2020 ("inception"). The Company is a contract manufacturer of premium alcoholic and non-alcoholic beverages that provides comprehensive operational services including procurement support, complex batching and processing, filling, packaging, and on-site storage.

Note 2 – Summary of Significant Accounting Policies

Basis of presentation – The Company's financial statements have been prepared in accordance with accounting principles generally accepted in the United States of America (U.S. GAAP).

Use of estimates – The preparation of financial statements in conformity with U.S. GAAP requires management to make estimates and assumptions that affect the amounts reported in the financial statements and accompanying notes. Estimates are based on historical experience and other assumptions that management believes to be reasonable, the results of which form the basis of making judgments about the carrying values of assets and liabilities. Actual results could differ from those estimates.

Cash and cash equivalents – The Company considers all highly liquid investments, with a maturity of three months or less when purchased, to be cash equivalents. Cash equivalents are generally overnight money market investments. The Company maintains its cash in bank deposit accounts, which at times may exceed federally insured limits. The Company has not experienced any losses in such accounts. The Company mitigates its risk by placing funds with high credit quality financial institutions, and, consequently, the Company believes it is not exposed to any significant risk on its cash balances.

Accounts receivable – The Company provides credit to its customers and records accounts receivable at net realizable value. An allowance for doubtful accounts was recorded in the amount of $38,153 for a customer as of December 31, 2022. There is no allowance for doubtful accounts at December 31, 2021.

Inventory – Inventory is stated at the lower of cost or net realizable value. The Company provides allowances to adjust the carrying value of its inventory to account for potential obsolescence. All inventory on hand at December 31, 2022 and 2021 consists of raw materials to be used in production of customer orders.

Prepaid expenses and other current assets – Prepaid expenses and other current assets primarily include prepayments made for insurance, selling, marketing, operational, and general administrative expenses, as well as down payments on manufacturing equipment and current portions of letters of credit required under certain operating lease agreements. Equipment down payments were $8,285,646 at December 31, 2022. There were no equipment down payments at December 31, 2021. The current portion of letters of credit totaled $1,123,816 at December 31, 2022. The noncurrent portion of these letters of credit at December 31, 2022 totaled $1,509,309 and is included under the noncurrent assets in the accompanying balance sheet. At December 31, 2021 the total amount of these letters of credit of $2,633,125 was considered noncurrent assets in the accompanying balance sheet.

Note 2 – Summary of Significant Accounting Policies (continued)

Property and equipment – Property and equipment are stated at cost less accumulated depreciation and amortization. Depreciation is computed using the straight-line method over the estimated useful lives of the assets, generally five to twelve years. Leasehold improvements are amortized using the straight-line method over the shorter of the terms of the leases or their estimated useful lives. Expenditures for repairs and maintenance are charged to expense as incurred.

Valuation of property and equipment – In accordance with Financial Accounting Standards Board (FASB) Accounting Standards Codification (ASC) Topic 360, *Property, Plant and Equipment*, the Company reviews its property and equipment for impairment when events or changes in circumstances indicate the carrying amount of such assets may not be recoverable and exceeds its fair value. There were no impairments recorded to property and equipment for the years ended December 31, 2022 and 2021.

Revenue recognition – In May 2014, the FASB issued Accounting Standards Update (ASU) No. 2014-09, *Revenue from Contracts with Customers (Topic 606)*. ASU No. 2014-09 is a comprehensive new revenue recognition model that requires revenue to be recognized in a manner to depict the transfer of goods or services to a customer at an amount that reflects the consideration expected to be received in exchange for those goods or services. The Company adopted ASC 606 since their inception on September 8, 2020. There was no revenue for the period from inception to December 31, 2020 and no customer accounts receivable at January 1, 2021.

The Company determines revenue recognition through the following steps:

- Identification of the contract, or contracts, with a customer
- Identification of the performance obligations in the contract
- Determination of the transaction price
- Allocation of the transaction price to the performance obligations in the contract
- Recognition of revenue when, or as, the Company satisfies a performance obligation.

As part of its assessment of each contract, the Company evaluates certain factors including the customer's ability to pay or credit risk. For each contract, the Company considers the promise to transfer products, each of which is distinct, to be the identified performance obligations.

The nature of the Company's business gives rise to variable considerations, including discounts, returns, and allowances that generally decrease the transaction price, which reduces revenues. Variable consideration is estimated at the most likely amount that is expected to be paid. Estimated amounts are included in the transaction price to the extent it is probable that a significant reversal of cumulative revenue recognized will not occur when the uncertainty associated with the variable consideration is resolved. Estimates of variable consideration are based on historical experience and known claims.

As the Company's standard payment terms are less than one year, the Company has elected, as a practical expedient, to not assess whether a contract has a significant financing component. The Company allocates the transaction price to each distinct product based on its relative standalone selling price. The product price as specified on the purchase order is considered the standalone selling price as

Note 2 – Summary of Significant Accounting Policies (continued)

it is an observable source that depicts the price as if sold to a similar customer in similar circumstances.

Incidental items that are immaterial in the context of the contract are recognized as expense. The Company does not have any significant financing component as payments are received before, at, or shortly after the point of sale. Costs incurred to obtain a contract will be expensed as incurred when the amortization period is less than a year. The Company recognizes an asset for the incremental costs of obtaining a contract with a customer if it expects the benefit of those costs to be longer than one year. The Company has concluded that none of the costs it has incurred to obtain and fulfill its sales contracts meet the capitalization criteria, and as such, there are no costs deferred and recognized as assets on the balance sheet at December 31, 2022 and 2021.

Certain of the Company's sales are commissionable. The Company pays sale commissions when the cash for the related sales is received. Commissions included in selling and marketing expenses in the accompanying statements of operations for the year ended December 31, 2022 and 2021, amounted to $27,513 and $6,902, respectively. The Company did not capitalize any commissions during the years ended December 31, 2022 and 2021.

The Company's contracts with customers are for manufacturing tolling fees and monthly operational services such as warehousing. Tolling fees charged by Company to its customers represent a manufacturing service fee to convert raw materials to finished product. The Company's manufacturing sales are performance obligations that are satisfied when title transfers to the customer at a point in time, post manufacturing and when the order is available for customer pick up. The Company does not deliver products to customers. Accordingly, no shipping expenses were incurred during the years ended December 31, 2022 and 2021. Performance obligations for monthly operational services are satisfied and revenue is recognized at the end of each month.

Advertising costs – Advertising costs are expensed in the period in which they are incurred. Total advertising costs included in selling and marketing expenses in the accompanying statements of operations for the years ended December 31, 2022 and 2021, amounted to $66,539 and $131,220, respectively.

Research and development – Research and development costs are expensed as incurred. Substantially all research and development expenses are related to new product development and design improvements or increased functionality in current products or manufacturing processes.

Concentrations of credit risk – Financial instruments that potentially subject the Company to significant concentrations of credit risk consist primarily of cash and cash equivalents and accounts receivable. The Company maintains its operating cash balance with a major financial institution. At times, cash balances may be in excess of Federal Deposit Insurance Corporation insurance limits. This is mitigated by the use of a high credit quality banking institution. Accounts receivable are unsecured and the Company is at risk to the extent such amounts become uncollectible. Concentration of credit risk with respect to accounts receivable is generally mitigated by the Company performing an ongoing credit evaluation of its customer.

Note 2 – Summary of Significant Accounting Policies (continued)

Customer concentration – Sales to three customers amounted to 72% of net sales for the year ended December 31, 2022. Amounts due from these customers included in accounts receivable on the accompanying balance sheet amounted to $18,255,969 at December 31, 2022. Sales to two customers amounted to 80% of net sales for the year ended December 31, 2021. Amounts due from these customers included in accounts receivable on the accompanying balance sheet amounted to $2,255,518 at December 31, 2021.

Income taxes – The Company is a limited liability company which provides for profits and losses to be reported at the individual member level for income tax purposes. FASB ASC 740-10, *Income Taxes*, prescribes a recognition threshold and measurement process for accounting for uncertain tax positions and also provides guidance on various related matters such as de-recognition, interest, penalties, and disclosures required. The Company files income tax returns in the U.S. federal jurisdiction and various state jurisdictions. Management does not believe the Company has any entity level uncertain tax positions.

Equity-based compensation – Equity-based compensation cost is measured at the grant date based on the estimated fair value of the award and is recognized as expense over the employee's requisite service period. Certain awards vest based upon the achievement of pre-established performance criteria, including hurdle amounts prior to distribution, upon a sale of the Company, or another liquidity event as defined in the award agreement. The Company estimates the fair value of performance-based awards at the date of grant based upon the probability that the specified performance criteria will be met.

Fair value of assets and liabilities – FASB ASC 820, *Fair Value Measurements and Disclosures*, defines fair value, establishes a framework for measuring fair value, and expands disclosures about fair value measurements. ASC 820 defines fair value as the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. ASC 820 also establishes a fair value hierarchy which requires an entity to maximize the use of observable inputs and minimize the use of unobservable inputs when measuring fair value. The standard describes three levels of inputs that may be used to measure fair value:

Level 1 – Quoted prices in active markets for identical assets or liabilities.

Level 2 – Observable inputs other than Level 1 prices such as quoted prices for similar assets and liabilities; quoted prices in markets that are not active; or other inputs that are observable or can be corroborated by observable market data for substantially the full term of the assets or liabilities.

Level 3 – Unobservable inputs that are supported by little or no market activity and that are significant to the fair value of the assets or liabilities.

As of December 31, 2022 and 2021, the Company's financial instruments, including cash, accounts receivable, inventories, prepaid and other current assets, accounts payable, and accrued expenses are carried at cost, which approximate fair value, due to the relatively short maturities of these instruments.

Note 2 – Summary of Significant Accounting Policies (continued)

Contingencies – The Company is subject to a range of claims, lawsuits, and administrative proceedings that arise in the ordinary course of business. The Company accrues a liability (which amount includes litigation costs expected to be incurred) and charges operations for such matters when it is probable that a liability has been incurred and the amount can be reasonably estimated. Estimating liabilities and costs associated with these matters requires significant judgment based upon the professional knowledge and experience of management and its legal counsel.

Leases – In February 2016, the FASB issued ASU No. 2016-02, *Leases (Topic 842).* The pronouncement requires the recognition of a liability for lease obligations and a corresponding right-of-use (ROU) asset on the balance sheet and disclosure of key information about leasing arrangements. Additionally, the new lease guidance requires a dual approach for lessee, lessee would account for leases as either finance leases or operating leases. For finance leases, the lessee would recognize interest expense and amortization of the ROU-asset, while for operating leases, the lessee would recognize a straight-line total lease expense. The guidance also requires qualitative disclosures related to the amount, timing, and uncertainty of the cash flows arising from the leases.

This pronouncement is effective for reporting periods beginning after December 15, 2021, using a modified retrospective adoption method for all leases existing at, or entered into after, the date of initial application. The Company elected to early adopt ASU 2016-02 at inception in September 2020 and utilized all of the available practical expedients. The adoption had a material impact on the Company's balance sheet but did not have a material impact on the statement of operations. The most significant impact was the recognition of ROU assets and lease liabilities for operating leases.

The Company determines if an agreement is a lease at inception. Leases with an initial term of 12 months or less are not recorded on the balance sheet and are expensed as incurred. Operating lease ROU assets and liabilities are recognized on the balance sheet at the commencement date, which is the date the Company obtains possession of the leased premises or equipment. The lease liability is determined based on the present value of the minimum rental payments using the discount rate in effect on the commencement date. The ROU asset is calculated based on the lease liability less any incentives received, or prepayments made to the landlord. Rent expense is recognized on a straight-line basis over the lease term, which is generally the initial lease term exclusive of the option to extend the lease as the Company is not reasonably certain if it will extend at the time of lease commencement. Certain leases also include options to purchase the leased property. The lease term is used for the amortization/depreciation life of lease assets unless there is a transfer of title or purchase option reasonably certain of exercise, in which case the asset life is used.

Subsequent events – Subsequent events are events or transactions that occur after the balance sheet date but before the financial statements are issued or are available to be issued. The Company recognized in the financial statements the effects of all subsequent events that provide additional evidence about conditions that existed at the date of the balance sheet, including the estimates inherent in the process of preparing the financial statements. The Company's financial statements do not recognize subsequent events that provide evidence about conditions that did not exist at the date of the balance sheet but arose after the balance sheet date and before the financial statements are issued or are available to be issued.

Note 2 – Summary of Significant Accounting Policies (continued)

The Company has evaluated subsequent events through March 27, 2023, which is the date the financial statements were available to be issued.

Note 3 – Property and Equipment

Property and equipment consist of the following at December 31, 2022:

	December 31, 2022	December 31, 2021
Machinery and equipment	$ 12,608,765	$ 14,184,629
Leasehold improvements	17,095,917	8,288,287
Computers and software	192,925	122,069
Furniture and fixtures	25,071	25,071
Total Property and Equipment	29,922,678	22,620,056
Less: accumulated depreciation	(3,654,584)	(1,027,246)
Construction in progress	5,466,548	922,296
Property and equipment, net	$ 31,734,642	$ 22,515,106

Depreciation and amortization for the years ended December 31, 2021 and 2022, was $2,998,043 and $1,022,621, respectively.

Note 4 – Leases

The Company has five non-cancellable operating-type leases for certain manufacturing, warehouse, and office space expiring through June 2029. The Company also has forty-seven non-cancellable finance-type leases for certain manufacturing and warehouse equipment expiring through December 2029.

The Company's operating leases generally contain rent escalation clauses that are fixed at lease inception, which are included in determining the lease liability and ROU asset. Certain leases generally require various expenses incidental to the use of the property, such as common area maintenance, property taxes, and insurance. These costs are separate from the base rent payment and are not considered in the determination of the lease liability and ROU asset. The Company has not noted any material instances in its leases where these costs were included in the base rent payment and has elected the policy to not separate lease from non-lease components when they are combined with the base rent payment.

Note 4 – Leases (continued)

Components of the Company's lease expense are as follows:

	December 31, 2022	December 31, 2021
Finance lease expense		
Amortization of right-of-use assets	$ 3,148,404	$ 441,709
Interest on lease liabilities	2,697,870	604,740
Operating lease expense	6,999,269	4,854,722
Total	$ 12,845,543	$ 5,901,171
Other information		
Cash paid for amounts included in the measurement of lease liabilities		
Operating cash flows from operating leases	$ 5,560,382	$ 1,333,028
Operating cash flows from finance leases	186,218	64,497
Financing cash flows from finance leases	8,278,891	814,093
Lease assets obtained in exchange for lease liabilities		
Operating leases	$ 16,961,370	$ 34,074,913
Finance leases	39,039,114	11,423,314
Weighted-average remaining lease term (in years)		
Finance leases	2.62	2.93
Operating leases	7.09	7.14
Weighted-average discount rate		
Finance leases	5.25%	3.22%
Operating leases	2.15%	1.44%

Future lease payments consist of the following:

	Finance	Operating
Years Ending December 31,		
2023	15,387,630	8,519,147
2024	16,660,293	8,752,870
2025	11,272,204	9,015,456
2026	493,249	9,285,919
2027	423,941	9,564,497
Thereafter	577,163	17,920,124
Total	44,814,480	63,058,013
Less: imputed interest	(3,445,036)	(5,332,913)
Present value of lease obligations	41,369,444	57,725,100
Current portion of lease liabilities	(13,532,263)	(7,414,651)
Lease liabilities, net of current portion	$ 27,837,181	$ 50,310,449

Note 5 – Member Notes Payable

During 2021, the Company issued unsecured promissory notes to a member in amounts of $5,000,000 in June 2021 and $2,500,000 in November 2021. The notes bear interest at 15% and 10%, respectively, and have an initial maturity of one year from issuance. The outstanding balance of notes at December 31, 2021was $7,500,000. Interest expense on the notes was $513,424 for the year ended December 31, 2021.

The Company issued additional unsecured promissory notes to members in 2022 and extended the maturity dates of the existing $7,500,000 promissory notes through December 31, 2022. In January 2022, the Company issued an unsecured promissory note of $2,500,000 to the same member, which bears interest at 12% and matures in one year. In May 2022, the Company issued two unsecured promissory notes to two members in an aggregate amount of $6,500,000, which bear an interest rate of 20% and mature in March 2023. In June 2022, the Company issued an unsecured promissory note to a member of $5,000,000, with an interest rate of 18% and maturity date of June 2023. The outstanding balance of all notes payable to members at December 31, 2022 is $21,500,000. Interest expense on the notes is $2,617,801 for the year ended December 31, 2022. The outstanding principal balance on all notes is due in one lump-sum payment at maturity date together with accrued and unpaid interest. Notes include options to purchase preferred shares, refer to Note 7.

Note 6 – Term Loan

In September 2022, the Company entered into a $10,000,000 long-term Loan Security Agreement with an unrelated party. The loan matures in April 2026 and has a variable interest rate of the greater of the Prime Rate and 7.25%, and 12.75%. The interest rate at December 31, 2022 was 14.75%. Interest expense was $416,942 for the year ended December 31, 2022. Principal repayments begin in November 2023. The loan includes an option to buy common shares, see Note 7, which resulted in a debt discount. The outstanding principal balance at December 31, 2022 is $9,783,460 which has been reduced by deferred financing costs of $203,046 and a debt discount of $13,494.

Future repayment on the term loan for years ending December 31 are as follows:

2023	$	557,031
2024		3,649,106
2025		4,235,716
2026		1,558,147
Total Principal Payments	$	10,000,000
Less deferred financing costs		(203,046)
Less debt discount		(13,494)
Net Total	$	9,783,460
Current portion		(557,031)
Term loan, net of current portion	$	9,226,429

Note 7 - Members' Equity

The Company has the following classes of membership and outstanding units:

Preferred Units – There were 1,968,353 and 2,114,724 Preferred Units authorized, issued, and outstanding at December 31, 2022 and 2021 respectively.

On December 31, 2022, 146,388 outstanding preferred units were ratably forfeited in conjunction with the Upside Valuation Calculation as defined within the Company's Amended and Restated LLC Agreement.

In connection with the $21,500,000 in unsecured promissory notes payable outstanding as of December 31, 2022 (Note 5), the Company has granted a member an option to purchase 86,668 preferred units at a set exercise price at any time before the ten-year anniversary of the respective promissory note effective date.

Common Units – 500,000 Common Units authorized, issued, and outstanding at December 31, 2022 and 2021.

DrinkPAK Holdings, LLC, a related party formed by the two founders of DrinkPAK, LLC, committed to investing a total of $600,000 in exchange for the 500,000 Common Units. Capital contributions of $250,000 were received during the year ended December 31, 2021, and the remaining $350,000 was received during the year ended December 31, 2022.

In connection with the $10,000,000 Loan Security Agreement outstanding as of December 31, 2022 (Note 6), the Company has granted the lender an option to purchase 3,977 common units at a set exercise price at any time before the ten-year anniversary of the respective loan effective date. This option was fair valued resulting in a debt discount of $13,494 at December 31, 2022.

Profit Interest Units – The Company has adopted an equity incentive plan to provide for the issuance of Profit Interest Units ("Units") to employees, managers, and third parties in such amounts as determined by the Company. The membership interests being granted with these Units do not receive profit or loss distributions from the Company until the Units are vested. During the period since inception to December 31, 2021, 99,927 Units were granted with no additional units granted during the year ended December 31, 2022. A total of 44,899 Units were vested as of December 31, 2022. The share-based compensation expense for these vested Units was $462,051 for the year ended December 31, 2022. There is $503,634 of unrecognized compensation expense related to unvested Units at December 31, 2022.

Additionally, the Company has an agreement with DrinkPAK Holdings, LLC that provides for 125,000 Units granted on January 14, 2021, that are performance-based ("Performance Units"). No performance Units have vested during the years ended December 31, 2022 or 2021.

Liquidation – Upon the liquidation of the Company, the Company shall first pay or make provision for the payment of all of the liabilities of the LLC, including the establishment of reserves as the management committee may deem necessary or appropriate for any anticipated obligations or contingencies of the Company arising out of or in connection with the operation or business of the Company. All remaining assets are distributed to the members.

Note 8 – Commitments and Contingencies

From time to time, the Company is involved in various routine legal proceedings incidental to the conduct of its business. Management does not believe that any of these legal proceedings will have a material adverse impact on the business, financial condition, or results of operations of the Company.

Note 9 – Subsequent Events

On February 24, 2023, $4,500,000 was repaid against the members' notes payable dated May 24, 2022 discussed in Note 5. Interest was paid in the amount of $647,164.

Subsequent to year end, the Company entered into two new operating leases through January 2024 and eight new finance leases through August 2026. Operating ROU assets and lease liabilities total $3,199,605 and financing ROU assets and lease liabilities total $34,886,311.